

Mark Scheme (Practice)

Practice — Pearson Edexcel-style GCE AS Level

Economics A (8EC0) Paper 02 — The UK Economy: Performance and Policies

Difficulty level: Moderate

General marking guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded; indicative content is not exhaustive.
- Crossed-out work should be marked unless the candidate has replaced it with an alternative response.

Section A

1(a)	The only correct answer is A (a fall in aggregate demand during a recession). B is not correct — this describes frictional unemployment. C is not correct — this describes structural unemployment. D is not correct — this describes seasonal unemployment.	(1)
1(b)	Knowledge 1, Application 1, Analysis 1 Knowledge / understanding: 1 mark for identifying one cost, e.g. fall in tax revenue (1) / rise in benefit spending (1) / increase in the budget deficit (1) / opportunity cost on public services (1). Application: 1 mark for reference to the data, e.g. UK unemployment was 3.8% in early 2023 (1) / employment rate was around 76% (1). Analysis: 1 mark for linked development, e.g. lower income tax/NICs receipts reduce government revenue (1) / higher welfare spending widens the budget deficit (1) / forced cuts to public services reduce long-run productive capacity (1).	(3)
2(a)	Knowledge 1 1 mark for definition, e.g. total planned spending on real output produced within an economy at a given price level over a period of time (1) / sum of $C + I + G + (X - M)$ (1).	(1)

2(b)	Knowledge 2 Up to 2 marks for, e.g.: rise in income tax (1) → reduces disposable income / lowers consumption (1); fall in consumer confidence (1) → households defer big-ticket purchases / raise saving (1); appreciation of the pound (1) → exports more expensive abroad / imports cheaper, so (X–M) falls (1); rise in interest rates (1) → raises cost of borrowing / discourages C and I (1); fall in house prices (1) → negative wealth effect reduces C (1).	(2)
2(c)	The only correct answer is D (aggregate supply of labour). A, B and C are all components of AD ($C + I + G + (X - M)$).	(1)
3(a)	The only correct answer is B (the inflation rate in 2022 was more than three times the rate in 2018). A is incorrect because inflation was positive throughout — there was no deflation in 2020. C is incorrect — inflation was well above the 2% target in 2022 and 2023. D is incorrect because inflation in 2023 (6.8%) is higher than in 2019 (1.8%).	(1)
3(b)	Knowledge 1, Application 1, Analysis 1 Knowledge: identification of a cause, e.g. cost-push inflation (1) / demand-pull pressures (1) / imported inflation (1). Application: reference to chart, e.g. inflation rose sharply from 2.6% in 2021 to 9.1% in 2022 (1) / inflation peaked in 2022 (1). Analysis: linked development, e.g. surging global energy and food prices (linked to the war in Ukraine) raised firms' costs (1) / shifted SRAS inwards leading to a higher price level (1) / depreciation of the pound raised import prices, feeding into UK CPI (1).	(3)

4(a)	Knowledge 1 1 mark for definition, e.g. spending by the government on goods, services and transfers in the public sector (1) / a component of AD financed through taxation and borrowing (1).	(1)
4(b)	Application 2 • 1 mark for a correct rightward shift of AD ($AD_{\blacksquare} \rightarrow AD_{\blacksquare}$). • 1 mark for showing a higher equilibrium price level ($P_{\blacksquare} \rightarrow P_{\blacksquare}$) and a higher equilibrium real output ($Y_{\blacksquare} \rightarrow Y_{\blacksquare}$), with both clearly labelled.	(2)
4(c)	The only correct answer is C (an appreciation of the pound). A would increase AD (cheaper borrowing). B would increase AD (higher disposable income). D would increase AD (higher C). An appreciation reduces exports / increases imports, lowering $(X - M)$ and AD.	(1)
5(a)	Knowledge 1 1 mark for definition, e.g. when the total value of imports of goods, services, primary and secondary income exceeds the total value of exports / a net outflow on the current account of the balance of payments (1).	(1)
5(b)	Application 2 • 1 mark for correct method: $(190 - 138) / 138 \times 100$ • 1 mark for correct answer $\approx 37.7\%$ (accept 37 / 38 / 37.68%). Award 2 marks for correct final answer even if working is implicit.	(2)
5(c)	The only correct answer is C (a depreciation makes UK exports cheaper to foreign buyers). A would tend to worsen the current account (more expensive exports). B reduces UK competitiveness. D raises imports, worsening the current account.	(1)

Section B — Question 6

6(a)	Knowledge 2, Application 2 (4 marks) Knowledge: 2 marks for, e.g. the use of government spending (1) and/or taxation (1) to influence aggregate demand and macroeconomic objectives (1). Application: 2 marks for data references from Figure 1, e.g. UK real GDP contracted by 10.4% in 2020 (1) due to the pandemic shock (1) / strong rebound of 8.7% in 2021 (1) / annual growth slowed to 0.1% in 2023 (1) consistent with fiscal tightening (1).	(4)
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6(b)	Knowledge 2, Application 2, Analysis 2 + Evaluation 4 (10 marks) Indicative content: • Government spending is a component of AD ($C + I + G + (X - M)$); an increase shifts AD outward ($AD_{\blacksquare} \rightarrow AD_{\blacksquare}$). • Real output rises from $Y_{\blacksquare} \rightarrow Y_{\blacksquare}$; price level rises from $P_{\blacksquare} \rightarrow P_{\blacksquare}$. • Multiplier effect amplifies the impact on national income ($k = 1/(1 - MPC)$). • Likely fall in cyclical unemployment along Okun-style links. • Application: Extract A reference to £370 billion of support measures during 2020–22; Figure 2 shows unemployment peaking at only around 5.2% in late 2020. • A correctly labelled AD/AS diagram showing AD shifting right is required to access Level 3. Evaluation (up to 4 marks): • Impact depends on the size of the multiplier — higher MPS / MPM / MRT reduces it. • Depends on the elasticity of the AS curve — close to full capacity inflation rises more. • Crowding-out: higher government borrowing may raise interest rates and reduce private I. • Time lags between announcement and effect; reliance on consumer/business confidence. • Risk of higher inflation (consistent with the surge in CPI in 2022) and higher national debt.	(10)
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Level	Mark	Descriptor
	0	Response is wholly incorrect or off-topic.
Level 1	1–2	Limited or fragmented recall of relevant concepts, theories or models. Application is generic and lacks integration with the stimulus. The argument is descriptive, with cause and effect not clearly linked.
Level 2	3–4	Some accurate knowledge is shown and there is partial application to the context. Analytical points are present but the response is narrow or only partly balanced.
Level 3	5–6	Sound knowledge is demonstrated. The candidate refers to the stimulus consistently and analytical chains are clear and coherent, addressing the main demands of the question.

Level	Mark	Descriptor
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	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind the judgement.
Level 2	3–4	Balanced evaluation with reasoning that draws on the stimulus and addresses the main aspects of the question.

6(c)	Knowledge 2, Application 2, Analysis 2 (6 marks) Knowledge: identification of two characteristics, e.g. positive real GDP growth (1) / falling unemployment (1) / rising consumer and business confidence (1) / recovering investment (1) / improving tax revenues / shrinking output gap (1). Application: 1 mark each for data references, e.g. Figure 1: UK real GDP grew by 8.7% in 2021 (1); Figure 2: unemployment fell from 4.6% in 2020 to 3.7% in 2022 (1); Extract A: “job vacancies reached record highs” (1). Analysis: linked development for each characteristic, e.g. real GDP growth signals an expansion of total output (1) / falling unemployment reflects rising labour demand as firms expand production (1) / consumer confidence raises C, accelerating recovery (1). <i>NB Award up to 4 marks for one well-developed characteristic (1K + 1Ap + 2An).</i>	(6)
6(d)	Knowledge 1, Application 2, Analysis 2 (5 marks) Knowledge: 1 mark for understanding that public sector net debt is the cumulative stock of borrowing (1) and that a budget deficit adds to it (1). Application: 2 marks (1+1) for, e.g. UK public sector net debt rose from around 84% to almost 100% of GDP (Extract A) (1); £370 billion of support measures was financed largely by borrowing (1). Analysis: 2 marks for linked development, e.g. expansionary fiscal policy raises G or cuts T, widening the deficit (1) → financed by issuing gilts which accumulate into the stock of debt (1) → higher debt service costs increase future deficits, creating a debt spiral (1).	(5)

6(e)	Knowledge 3, Application 3, Analysis 3 + Evaluation 6 (15 marks) Indicative content (apart from fiscal policy): • Monetary policy: very low interest rates (0.1%) and quantitative easing from 2020 supported borrowing, asset prices and AD. • Vaccine rollout and end of lockdowns allowed consumption (especially in contact-intensive services) to recover. • Pent-up household savings accumulated during lockdowns supported consumer spending — Figure 1 shows 8.7% growth in 2021. • Rise in business investment as firms restocked and digitised; supply-side reforms. • Depreciation of the pound boosting net exports. • Recovery in global demand and trading partners' growth. • Labour market flexibility: furlough preserved attachment between firms and workers. Evaluation (up to 6 marks): • Lagged and uncertain effect of monetary policy / time inconsistency. • Recovery uneven across regions and sectors (e.g. hospitality vs finance). • Some factors (e.g. higher savings) may be temporary; growth slowed to 0.1% by 2023. • Difficulty in isolating fiscal from monetary or supply-side influences. • 2022 cost-of-living crisis weakened real disposable income, partially offsetting growth. • Combination of factors typically matters more than a single cause.	(15)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive rather than analytical, with no clear chain from cause to effect.
Level 2	4–6	Reasonable knowledge of the topic is shown with some appropriate use of the data. Chains of reasoning are developed but the response may be narrow or unbalanced.
Level 3	7–9	Strong and accurate knowledge is applied to the context throughout. Analysis is logical, well structured and addresses the main aspects of the question.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.
Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.

6(f)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (in support of the view): - Increased G is a direct injection into AD; shifts AD right and raises real output → reduces cyclical unemployment. - Multiplier effect amplifies the impact on employment. - Government can target spending on labour-intensive activities (e.g. infrastructure, NHS). - Empirical reference: Figure 2 — unemployment peaked at only 5.2% in 2020 supported by £370 billion of fiscal support. Evaluation (alternative approaches): - Other types of unemployment (frictional, structural, seasonal) are less responsive to demand-side stimulus — supply-side policies (training, education, labour market flexibility) may be more effective. - Monetary policy (lower interest rates, QE) can also raise AD without widening the budget deficit. - Tax cuts may be more effective if firms or households have higher MPC than G recipients. - Effectiveness depends on the size of the multiplier, the elasticity of AS, and the state of the economy (near full capacity → mostly inflation). - Long-run trade-offs: higher debt servicing reduces future fiscal space. - Crowding-out / time lags / political constraints.	(20)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive and lacks logical chains.
Level 2	4–6	Some accurate knowledge is shown with limited use of the data. Reasoning is brief or only partly developed, with at most a two-step chain.
Level 3	7–10	Sound knowledge is applied to the context, with evidence drawn from the stimulus. Reasoning is generally coherent but the response may lack balance.
Level 4	11–14	Precise and confident knowledge is applied directly to the context. Evidence from the stimulus is integrated throughout, and the candidate develops fully coherent and well-structured analytical chains.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.
Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.

6(g)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (fiscal stimulus has been more effective): • Furlough scheme directly preserved millions of jobs — unemployment peaked at only ~5.2%. • Targeted business grants and emergency NHS funding supported supply-side capacity during the pandemic. • Figure 1 — strong 2021 rebound of 8.7% coincided with continued fiscal support. • Monetary policy at the lower bound (0.1% base rate) had limited room to ease further. Evaluation (monetary policy may have been more effective): • Quantitative easing supported asset prices and credit conditions — sustained for over a decade. • Low interest rates lowered the cost of servicing both private and public debt. • When inflation surged in 2022 (CPI > 9%), the MPC responded with sharp rate rises (base rate to 5.25%) — fiscal authorities were slower to tighten. • Fiscal stimulus pushed debt from 84% to ~100% of GDP, creating long-run constraints. • Crowding-out, time lags, and political constraints on fiscal policy. • Likely conclusion: both played a complementary role; effectiveness depends on the phase of the cycle.	(20)
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Level 3	7–10	Sound knowledge is applied to the context, with evidence drawn from the stimulus. Reasoning is generally coherent but the response may lack balance.
Level 4	11–14	Precise and confident knowledge is applied directly to the context. Evidence from the stimulus is integrated throughout, and the candidate develops fully coherent and well-structured analytical chains.

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Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.
Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.